

Technology Sector Outlook 2025: AI Infrastructure Drives Next Phase

Date: February 28, 2025 | Ref: EQ-RR-2025-031

Coverage Universe: AAPL, MSFT, NVDA, AMZN, SAP, ASML, TRI

Sector View: Overweight - selectively

Author: S. Patel, CFA - Technology Sector Analyst

Investment Thesis

The technology sector bifurcated sharply in 2024: infrastructure plays (semiconductors, cloud, networking) outperformed dramatically, while software-as-a-service names lagged as enterprise customers slowed discretionary IT spending. For 2025, we expect the AI infrastructure buildout to continue driving NVDA and cloud hyperscalers (MSFT, AMZN), while a selective recovery in enterprise software begins to materialize as AI becomes a procurement catalyst rather than a headwind.

The key dynamic for 2025 is monetization: companies that successfully convert AI investment into measurable productivity gains will re-accelerate growth, justifying current premium valuations. Those that fail to demonstrate ROI will face multiple compression as rates remain elevated.

NVIDIA (NVDA) - BUY, Target \$1,400

NVDA remains the single most important pick in our technology coverage. Blackwell GPU ramp is ahead of schedule with Q4 2024 data center revenue of \$35.6B - up 93% YoY. Hyperscaler capital expenditure continues to accelerate with AWS, Azure, and Google Cloud collectively guiding \$300B+ in 2025 capex. NVDA captures approximately 85% of AI accelerator revenue. Key risk: competitive inroads from custom silicon (Google TPU, Amazon Trainium) could erode share. Our 18-month DCF supports a \$1,400 target at 30x FY2026 earnings.

Microsoft (MSFT) - BUY, Target \$520

Azure AI Services adoption exceeding expectations with Copilot integration across Office 365 driving meaningful ARPU expansion. Enterprise customers are signing longer-duration agreements with AI features as the primary driver. Gaming segment stabilizing post-Activision integration. We model 18% Azure revenue growth for FY2026 versus consensus at 16%. Maintain BUY with \$520 12-month target on 30x FY2026 EPS.

ASML Holding (ASML) - BUY, Target EUR 950

The only supplier of EUV lithography tools - critical for manufacturing advanced semiconductors at 5nm and below. Order backlog of EUR 36B represents 2+ years of revenue visibility. Despite near-term demand softness in memory, logic fab investment in TSMC, Samsung, and Intel supports a strong 2025-2027 growth trajectory. The secular AI-driven demand for advanced chips is the primary long-term demand driver. Export restrictions create uncertainty but do not meaningfully impair our base case.

Canadian Technology Angle

Thomson Reuters (TRI) is our preferred Canadian technology name. The transformation to a content-driven AI company is ahead of schedule. Legal Tracker AI and Checkpoint Edge AI are generating material pricing power in the professional services segment. Generative AI integration across Westlaw and Practical Law is a defensible moat. We rate TRI as BUY with a \$230 12-month target.

Risks to Our View

- Interest rate re-acceleration compressing high-multiple technology valuations
- AI monetization disappointment - enterprises fail to realize promised productivity gains
- Regulatory intervention in AI (EU AI Act, US executive orders)
- Geopolitical escalation further restricting semiconductor exports to China
- Concentration risk - AI capex driven by 3 hyperscalers creates single-point-of-failure risk